

Q4 2025 United Airlines Holdings Inc Earnings Call Transcript

Jan 21, 2026 / 03:30 PM GMT

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Key Points

☒ Transcript ☐ 8-K

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Key Points

Positive

- United Airlines Holdings Inc (UAL) reported a 4.8% increase in top-line revenues to \$15.4 billion in Q4 2025, marking the highest revenue quarter ever for the company.
- The company achieved a 3% increase in its overall net promoter score for 2025, highlighting improved customer satisfaction.
- United Airlines Holdings Inc (UAL) successfully managed to grow its earnings per share (EPS) year over year, despite industry challenges, positioning itself as the only US airline to do so.
- The airline's premium cabins outperformed the main cabin, with premium cabin revenues up 12% year over year, indicating strong demand for higher-end services.
- United Airlines Holdings Inc (UAL) achieved significant cost efficiencies, with a minimal increase in CASM (Cost per Available Seat Mile) of only 0.4% year over year, showcasing effective cost management strategies.

Negative

- The airline faced a \$250 million impact on pre-tax earnings due to a government shutdown, highlighting vulnerability to external political factors.
- Main cabin revenues showed weakness, with a decline of approximately 5% for standard and basic economy revenues, indicating challenges in the lower-end market segment.
- The company experienced challenges in the Latin America market, with underperformance in Q3 and Q4, affecting overall regional performance.
- United Airlines Holdings Inc (UAL) is currently in active negotiations with four labor unions, which could lead to potential disruptions or increased labor costs.
- The airline's operations were impacted by FAA-directed capacity reductions at major airports due to staffing and system constraints, leading to operational challenges.

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UAL.OQ - United Airlines Holdings Inc
Q4 2025 United Airlines Holdings Inc Earnings Call
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Presentation

Unidentified_1 [1]

Good morning and welcome to United Airlines Holdings earnings conference call for the 4th quarter and full year 2025. My name is Colby and I'll be your conference facilitator today.

Following the initial remarks from management, we will open the lines for questions.

All lines have been placed on mute to prevent any background noise, and if you'd like to ask a question at that time, please press star, then the number one on your telephone keypad to raise your hand and enter the queue.

If you would like to withdraw your question at any time, please press 1 again.

Thank you.

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I will now turn the presentation over to your host for today's call, Christina Edwards, managing director of investor relations. Please go ahead.

Unidentified_2 [2]

Thank you, Colby. Good morning everyone and welcome to United's 4th quarter in full year 2025 earnings conference call. Yesterday we issued our earnings release, which is available on our website at ir.unnited.com. Information in yesterday's release and the remarks made during this conference call may contain forward-looking statements which represent the company's current expectations and are based upon information currently available to the company. A number of factors could cause actual results to differ materially from our current expectations. Please refer to our earnings release, Form 10K and 10Q and other reports filed with the FCC by United Airlines Holdings and United Airlines for a more thorough description of these factors. Unless otherwise noted, we will be discussing our financial metrics on a non-GAAP basis on this call, and historical operational metrics will exclude pandemic years of 2020 to 2022. Please refer to the related definitions and reconciliations of these non-GAAP measures to the most directly comparable GAAP measures at the end of our earnings release. Joining us in Houston today to discuss our results and outlook are Chief Executive Officer Scott Kirby, President Brett Hart, executive Vice President and Chief Operations Officer Toby Innquist. Executive Vice President and Chief Commercial Officer Andrew Nocella and executive Vice President and Chief Financial Officer Mike Luskinen. We also have other members of the executive team on the line and available for Q&A.

And now I'd like to flip the call over to.

 Unidentified_3 [3]

Scott.

Thank you, Christina, and thank you to everyone for joining us today.

2025 had more than its fair share of unusual challenges, but the people of United did a truly remarkable job of living our no excuses culture, focusing on the customers and overcoming obstacles. Last year was really a proof point that the strategy we've had to build a revenue diverse, brand loyal airline at United for the last decade is not only working, but it's remarkably resilient in tough times as well. The proof is in the numbers, and we expect to be the only US airline that managed to grow EPS year over year despite all the headwinds. The United team truly is the best in global aviation, and I'm very proud of them. They have made today's United a remarkably different airline than it was in the past.

Before turning to 2026, I want to wish all the best to a friend and an industry icon, Glenn Howardstein. My first real introduction to what has become modern successful airlines like Delta and United was at Continental in 1994 with Glenn and Andrew Nocella as they were dismantling Cal Light and building the Newark and Houston hubs that we at United are now proud to call our own. I remember Glenn once coming into the conference room where I sat and yelled at me for being too loud, something, by the way, that my wife Kathleen wholeheartedly agrees with Glenn on. At an airline, I think the most important and impactful job is building a great commercial strategy, and a large modern airline simply cannot succeed without a commercial superstar. Glenn and Andrew are simply in a separate league from all the other commercial minds around the globe, and Glenn, on a personal level, given the momentum at United, I'll just say that your retirement timing is impeccable.

After a solid year in 2025, 2026 sets up as more of the same at United, but with a much better industry backdrop. Our plan has been working for the last decade, and while we make minor adjustments to it every year, the core of building a great revenue diverse, brand loyal airline remains the same. We've had the right strategy for a long time now, and the United team across the board is just better at executing than any other airline in the world. I'm proud of them and excited as we continue to build the best airline in aviation history. On to you, Brett.

 Unidentified_4 [4]

Thank you, Scott, and good morning. While 2025 presented a challenging macro backdrop for the industry, we remain laser focused on the customer experience and on building brand loyalty. Continued investments in the travel experience, communication, and reliability helped us navigate disruption and deliver for our customers.

Our strong net promoter scores for the year highlight the care and consistency.

Built into the United travel experience. Despite the operational headwinds of the year, we finished 2025 with an almost 3% increase in our overall net promoter score. And during the month of November, amid an unprecedented government shutdown and real-time flight reductions, we had the best NPS month in the company's history.

This is a testament to our customer focus, decisive actions, and customer friendly policies, and commitment to transparent communications, especially during disruptions. Toby will share in more detail

the specific actions we took to produce these customer-friendly results. We also continue to innovate and in the 4th quarter we introduced new features and more personalized updates in our award-winning United app, including enhanced mobile bag tracking. Virtual gate, real-time boarding updates, and more detailed arrival information.

These enhancements are designed to improve transparency, save customers time, and provide clearer real-time communication at key moments of the journey. With more than 85% of customers using the United app on the day of travel, another one of our competitive advantages, and we are confident that these investments are painfully enhancing the United experience, earning customer trust at every touchpoint and winning brand loyal customers.

On labor, we are currently in active negotiations with 4 of our labor unions. We look forward to reaching industry leading contracts with these groups and we'll share more when able.

We have a bright 2026 ahead of us, and I want to thank our employees for the important work they do every day. I am proud to say they will be receiving over \$700 million in well-deserved profit sharing for 2025. Their resilience and shared commitment to our values and customers are what make United strong.

I now hand it over to Toby to discuss our operations.

Unidentified_5 [5]

Thank you, Brett, and I'm happy to join you all on this morning's call. At United, we're proud of our no excuses culture, and last year it was really put to the test as the United operations team confronted a wide array of challenges outside of our control.

I'm so proud of how the team responded and delivered for our customers. Capitalizing on investment in our people, new tools, and other innovations allowed us to be nimble and react quickly to capacity directives from the FAA and to recover faster and stronger during other irregular operations than ever before. As a result, we had the highest seat completion factor in our history and number one of the big three legacy carriers in 2025. In fact, at O'Hare in 2025, we canceled at half the seat rate of our largest competitor. We flew a record 189 million passengers and ranked number one in Star DCra for the 2nd year in a row. For the year, United ranked number 2 in on-time departures and number two in cancellations. A United Express operation delivered 134 days of perfect completion. This is a remarkable performance in the face of the outside challenges that we face at Newark and Stafford challenges at the ATC.

Beginning in the early November, the FAA directed airlines to temporarily reduce departures at 40 major airports due to staffing and system constraints, prolonged US government shutdown. We worked closely with FAA leadership to swiftly implement the reductions, and we want to thank them for their partnership.

At United we were intentional with how we made these cuts. From the start. Our priority was protecting the integrity of our network. We made a clear decision not to cut long haul international and hub to hub flying. Those flights are the backbone of our network and aided in retaining connectivity and flexibility for our customers. We focused on the reductions where we could minimize customer impact, with the majority of cuts concentrated on regional flying and non-hop domestic routes with smaller narrow body aircraft.

In many cases that meant trimming frequency on routes where there were multiple daily options rather than eliminating connectivity altogether. Where we could, we consolidated flights and fewer departures with larger aircraft to move the same number of customers more efficiently and reducing further

disruption.

Even with these changes, total cancellations were only approximately 4% of departures during peak periods and had a minimal impact to our capacity in the quarter.

Operationally, I'm very proud of how our team managed the rolling schedule changes. We're no strangers to managing through irregular operations, and that has contributed to the speed and flexibility in which we respond to these situations.

We published cancellations several days in advance to give peace of mind to our customers and directly communicated any changes through our app and website and focused on re-accommodating customers wherever possible as quickly as able.

Notably, nearly 60% of our customers whose flights were canceled were rebooked within 4 hours of the original departure time.

Any customers traveling during this period could request a refund, even if their flight ultimately operated, and that included nonrefundable and basic economy tickets. It was the right thing to do.

Thank you to each United employee who helped us successfully navigate these real-time schedule changes. We closed out the year on a high note. United delivered the best operation in the industry over the holidays, ranking number 1 in on-time departures and on-time arrivals. We canceled less than 1% of our flights during the holidays, and following the Caribbean airspace closure in the early 2026, we added 10% more seats over a 3-day period to help customers return home, an outstanding way to close out the busy holiday season. 2025 is a year we should all be proud of, especially given the multiple headwinds united in the industry face. Running a strong operation sets the foundation for delivering on our financial commitments and it helps attract the brand loyal customers that we speak so much about.

Thank you again to our incredible team here at United, and I look forward to building on our momentum in 2026 together.

Not a year ender to speak about the revenue environment.

Unidentified_6 [6]

Thanks Soby.

United's top-line revenues increased 4.8% to \$15.4 billion in the quarter on a 6.5% increase in capacity year to year. Consolidated rousing for the quarter was down 1.6%. Q4 was United's highest revenue quarter ever.

Premium cabins outperformed main cabin once again in the quarter. Premium cabin revenues were up 12% year over year on a 7% more capacity. Prasm for premium cabins outperformed the main cabin by almost 10 points in Q4. Main cabin revenues were up 1% on a 6% more capacity for the quarter. For the year, premium revenues increased approximately 11% while standard and basic economy revenues were down approximately 5%.

We did see a nice bounce back in our international flying in Q4 after a challenge in Q3. The Pacific and the Atlantic performed well with PrasM turning positive in both regions. Latin America, on the other hand, had yet another challenging quarter.

Cargo revenues for 2025 are up 1.8 billion or 1.8 billion to 2.2 billion year to year.

Loyalty revenues for 2025 were up 9%. Amation from global co-brands was up 12% for the year and 14% for the quarter. And for the 3rd year in a row we added over 1 million new co-brand cards.

As we look to Q1 2026, we expect to see sequential improvement with the possibility that all regions have positive Rs year to year.

Last year did start very strong from agan's perspective, but then dropped off sharply towards the back 3rd of January and for the rest of the quarter. Based on what we've seen so far this year, bookings and yields are outpacing the strong start from last year, and we're hopeful that the momentum will continue, which could admittedly cause our guidance to feel a bit conservative.

We also expect the domestic capacity environment to be quite favorable for the first half of 2026, with a small but meaningful amount of perennial unprofitable capacity by others leaving the market. However, in Q1, premium revenues continue to lead the way while standard main cabin seats continue to show some weakness. This main cabin weakness is due to unprofitable capacity offered by other large spill demand US carriers as ULCC capacity becomes less relevant.

We also have a tailwind in Newark later this spring when operations running well. We expect Newark to give United a unique rasam tailwind versus the industry considering the events last spring. With the number of flights now limited to what the runways can accommodate, our customers can and are booking in confidence.

We did make aggressive latin capacity adjustments for Q1 to correct underperformance we saw in Q3 and Q4.

However, recent geopolitical events are having a measurable negative impact on bookings in the Caribbean. Yet we still have a chance at positive Latin rasm depending on when concern dissipates.

All United hubs were once again profitable in Q4 and for all of 2025. A fully profitable hub framework allows United to invest incremental capacity on a solid foundation. We think we're only one of two large US carriers that can say all their hubs are profitable in 2025, and these same two carriers are expected to represent the bulk of industry profits in the year.

We also believe that of the three airline hubs located in Chicago, only United's hub was profitable in 2025, and we expect it will be profitable again once again in 2026.

Today, I also wanted to talk about our commercial focus points for 2026 to drive higher arousings and margins. Our first focus will be new seasonal capacity shaping of our long haul schedule. Peak demand for international travel has spread from the second and 3rd quarters to other parts of the year. As a result of this shift, we expect the fastest growing quarter for United's international capacity to be Q1 in 2026, with minimal growth in Q3. Flattening capacity across the quarters would have not been correct in 2019, but it is today.

A second focus will be enhanced merchandizing of our growing product lineup. We plan to increase segmentation and customer choices with our changes, which we'll announce in early 2026. This effort includes the largest redesign of united.com in a decade.

Our third focus will be enhanced connectivity. We will soon approach the connectivity goals we set in

2021 with the United Next Plan by 2027. As a result, 2025 represents United's high water mark on domestic capacity growth as we draw this very successful part of the United Next Plan to an end.

Our fourth focus will be mileage plus, enhancing the growth potential in the coming years via drawing a larger distinction between true loyalty programs and reward programs offered by others. We have a legacy contract that continues with our banking partners regarding core Economics, but we still have plenty of ideas to boost growth and revenue in the meantime. And premiumization is our fifth focus in 2026. We've had this premium focus for almost 8 years now, and while our lead is now being followed by a range of other US carriers, it's United's 7 business-centric hubs that dictate this plan and why we expect to be more successful at it.

Last spring, we announced our new elevated interior for our wide-bodied jets, including the new United Polaris studio seat, Polaris seats with doors, along with countless other upgrades to the soft product. Four elevated 787s are now being prepared for delivery in the coming weeks, and we expect 16 more for the remainder of 2026. These aircraft, along with other new deliveries, will result in our premium capacity growth accounted for more than half our growth in 20,206.

We look forward to another innovative set of products and aircraft announcements in 2026. United is defining what premium means for all customers, no matter where they sit or what they pay. Our United Signature interior mods and Starlink installs are now moving at pace and will be completed in 2027, creating a consistent premium product we hope for when we announce United Next in 2021.

A quick but important preview for 2027 is our long-term focus on gauge. While gauge is not a focus in 2026, it will be in 2027 and beyond as a much higher percentage of our growth equation.

Most of our commercial focus areas in 26, of course, ladder up to commoditizing our product, providing consumers with more choices, and winning a higher share of brand loyal customers. We like our plan. We remain focused on doing more of the same in the coming years. With that, I'll thank, I'll offer my thanks to the entire United team for a great but challenging 2025 and head it off to Mike to talk about our financial results. Mike.

Unidentified_7 [7]

Thanks, Andrew. We closed out 2025 on a high note and delivered fourth quarter earnings per share of \$3.10 within our guidance range of \$3 to \$3.50 and that's despite a \$250 million impact to our pre-tax earnings from the government shutdown.

2025 was a challenging year for the airline industry. Between macro volatility and idiosyncratic challenges at Newark, each quarter of 2025 experienced a material event that pressured earnings and further widened the performance GAAP between the industry leaders and laggards.

Our full year 2025 EPS came in at \$10.62 which was slightly up versus 2024 and despite an \$0.85 headwind from our challenges at Newark.

I expect we will be the only US airline to grow EPS last year. This is an incredible proof point of United's ability to execute through times of elevated uncertainty when most of the industry cannot.

An airline with a business anchored by brand loyal customers isn't only more profitable, it's also more resilient.

Our plan is working, and I'd like to thank the entire United team for their hard work in the face of all these challenges. I'd particularly like to thank our frontline flight attendants, pilots, and customer service representatives. Through an extraordinarily difficult time during the government shutdown, you served our customers, leading to the highest net promoter scores in United's history.

Over the last year we've invested a billion dollars in the customer, and as a result, customers are taking note. From larger clubs to free Starlink Wi-Fi, the United product offering, as well as further segmentation, continues to attract more and more brand loyal customers, driving strong topline performance and more durable earnings.

The investment in the customer has been enabled by our industry leading efforts to drive cost efficiencies across the core business. In the fourth quarter, our Casamax year over year was up only 0.4%, bringing our full year 2025 Chasm up, Casamax up to 0.4% as well. We expect this performance to be industry leading and will continue to drive efficiencies across the business in 2026.

Now turning to the outlook.

Looking to the first quarter, we expect earnings per share to be between \$1.01 dollar \$0.50, an approximately 37% earnings improvement versus the first quarter of last year at the midpoint, and margin expansion year over year.

Building off a strong quarter for the full year 2026, we expect earnings per share to be between \$12.14 dollars. At the midpoint, this represents over 20% growth and implies continued margin expansion as we march towards double-digit margins.

Turning to the fleet, this year, we expect to take delivery of over 100 aircraft, 100 narrow-body aircraft, and approximately 20 wide-body aircraft.

Accordingly, we expect our capital expenditures for the year to be less than \$8 billion consistent with the 7 to \$9 billion multi-year CapEx guidance we provided back in 2024.

On the balance sheet, becoming investment grade rated is a majority, is a major priority of mine and in 2025, we made meaningful progress towards investment grade metrics.

We paid off 1.9 billion of our high costs COVID era debt and brought our total cost of debt down to 4.7%. Our net leverage at the end of the year was 2.2 times. As a result of our deleveraging efforts combined with our earnings power and industry bifurcation, we've received five upgrades to our credit ratings across Moody's, S&P, and Fitch over the last 13 months.

United is now just one notch below investment grade at all three agencies, our highest ratings in over 25 years. In 2026, we plan to deliver further and target net leverage below 2 times.

With the intention of achieving investment grade metrics by year end. We're hopeful to achieve investment grade ratings shortly thereafter and are committed to managing our balance sheet to achieve that goal.

Free cash flow generation remains a key priority. In 2025, we generated \$2.7 billion in free cash flow, and in 2026, we expect to deliver a similar level of free cash flow given higher aircraft deliveries.

In the medium term, we expect free cash conversion to remain around 50%, and as we exit the decade, we continue to expect free cash conversion to expand to around 75%.

On the buyback, we have 782 million left in authorization from our board of directors. We will continue to balance our priority of being investment grade with making opportunistic purchases of our shares when market opportunities present themselves, hopefully less frequently.

2025 proved United could effectively manage through macro volatility and company-specific challenges while also delivering resilient earnings. Our relative margins remain strong and moving forward, our focus will be on continued margin expansion and achieving double-digit margins. The industry continues to transform and competitive dynamics are evolving with United firmly in the lead.

Taken together, United Airlines is positioned for another year of growth and success that will drive value to our employees, our customers, and our shareholders. Now back to Christina to kick off the Q&A.

Unidentified_2 [8]

Thank you, Mike. We will now take questions from the analyst community. Please limit yourself to one question and if needed, one brief follow-up question as we hope to get to as many of you as possible. Colby, please describe the procedure to ask a question.

Unidentified_1 [9]

Thank you. The question-and-answer session will be conducted electronically. If you'd like to ask a question, please press star, then the number one on your telephone keypad to raise your hand and enter the queue.

If you'd like to withdraw your question at any time, please press 1 again.

Please hold for a moment while we assemble our queue.

Your first question comes from Connor Cunningham from Melius Research. Your line is open.

Unidentified_8 [10]

Hi everyone, thank you. Just on the corporate travel comments you've noted a lot of strength there in January so far, and I actually think that's your most difficult comp of the quarter. So if you could just talk about how things change throughout one queue, I just think that you're going to be exiting at a much higher, booking rate in March than you are right now. So if you could just talk about that, in general, thank you.

Unidentified_6 [11]

Thanks, Connor. I think I agree with your conclusion. I, 2026 has gotten off to a really, I think, very strong start, but in particular, business volumes have gotten off and are just really compelling. And the way I look at it is if you think back to early 2025, we saw actually strong business volumes at first, but those numbers quickly trailed off to be up just very low single-digits in February and March.

This year for the same early January week, business revenue is up high single-digits and nearly 20% year

over two. So if current business volumes, simply continue, you'll see year over year growth for the last two weeks of January for business, up 1,213, 14%. The further you push this math into February, March, the stronger it potentially gets, so. I think I agree with your conclusion. We'll, it's still early in the year, but, just we're off to a great start from a business point of view.

Unidentified_8 [12]

Okay great and then I mean I know you spent a lot of time diversifying away from the the main cabin and with all the premium and corporate and all that stuff that you're doing but it just feels like we've been, I mean you noted ongoing issues in the main cabin into 2026 so far so if you could just talk about how that segment potentially flips to the positive and are you assuming you know any any sort of like rate of change or that flipping positive at some point, later in the year, thank you.

Unidentified_6 [13]

Well, look, I think it's inevitable.

Premium cabins are really on their 4th year in a row, but I do think it's inevitable that the coach cabin, the main cabin, Improves and it's a really simple equation. It's it's the unprofitable capacity offered by others in the marketplace that continues to fly, more than you would otherwise expect to fly. So we'll we'll see how that all shakes out. I can't predict the timing, but I do think eventually businesses stop doing unprofitable things. We'll have to see when that happens, but I remain bullish that we are going to see the performance of the main cabin flip at some point in the future. And when it does, that will be enormous fuel to our margin growth and be great for the industry itself. So time will tell, but I remain optimistic that we're on the course for that at some point in the future.

Appreciate it thank you.

Unidentified_1 [14]

Your next question comes from David Vernon with Bernstein. Your line is open.

Unidentified_9 [15]

Hey, good morning, guys, and thanks for taking the question. So, Scott, maybe I'd like to get your thoughts on how you're thinking about some of the changes that are being discussed around the credit card ecosystem, and what kind of, what that might mean for United as we look, for the next couple of years. If some of these changes are implemented, how do you think about, what you can do to manage around it and what are you and your partners thinking about as the most likely set of outcomes as far as, whether it's the cap on interest rates or the credit card competition tax, what have you. Thanks.

Unidentified_6 [16]

Sure, I'll take the question. I think it's a really good and relevant question, obviously, and first we're in constant contact with Chase on the issue. Obviously Chase is our largest co-brand partner, and we talk to them all the time on this issue. And what I'd say is, while much remains uncertain, of course United's

portfolio would be impacted, but in our view it would be impacted a lot less than just about everybody else, mileage plus co-brand holders tend to skew towards higher FICA band ranges, often revolve at a lower rate, and have low loss rates. These factors make us different than most non-airline co-brand programs and maybe even a lot different from a lot of other airline co-brand programs. We're going to let the banks sort this out. Interest rates and revolve rates are more their thing. Our focus is on providing amazing benefits via this program that our consumers love. So a lot more to come on this subject, but we feel like we're on top of it and we will be ready for whatever happens in the future.

Unidentified_9 [17]

Alright, thanks for that. And then maybe just as a quick follow-up, you mentioned, some additional stuff you might be able to do outside of the, they're on top of the existing sort of agreements that you have with your card partners. Any more color you can give us in terms of kind of, what that means in terms of, specific, changes or enhancements you can drive the program in the near term outside of renegotiating the contract?

Unidentified_6 [18]

Sure, I'll do my best, but first I want to welcome Jared Fisher to the team.

Jared's our new head of Mileage Plus. He has experience in credit cards, strong brands, and airlines, which make him a perfect fit to lead Mileage Plus into the next chapter.

Richard and Luke have just done a great job, and as you can see from our new card growth stats that I said earlier in 2025 along with our emission growth, I know I often talk about these changes at Mileage Plus without a lot of details, but what I'll tell you is Jared and I will have a lot more to say about this. And we're going to say something within the next 10 weeks, to accelerate accelerate growth and pull levers that we can pull that are in our control. So just a few more weeks and I'll be able to, I think, answer that question sufficiently for you.

All right, thanks again.

Unidentified_1 [19]

Your next question comes from the line of Sheila Kyyoglu with Jeffries. Your line is open.

Unidentified_10 [20]

Good morning guys and great quarter. Mike, maybe this first one's for you. The unit cost has been, stellar across 2025 quarters even in light of the investments you guys are making around the product, the experience, and you're debunking that sort of view that there's a variable cost relationship here. So maybe can you dissect what you guys are doing right, what the opportunities are for efficiencies going forward and how that plays into 2026 growth.

Unidentified_7 [21]

Thanks, Sheila, and I'm very proud of our cost performance in 2025. I think it'll prove to be industry leading, as I said in my prepared remarks.

Look, the cost efficiency in 2025 in the fourth quarter, the operation, the strong operation formed the foundation. And so a lot of credit goes to Toby and his team for driving that strong operation. Strong operation is a cost efficient operation.

But in addition to that, we are driving a real cultural efficiency here at United Airlines. I'll give a few examples, and we can talk more about it as time goes on. But a few examples are, as we continue to invest in an industry leading app, it drives a lot of automation for quicker check-in. It's customer pleasing. It also takes, it takes some costs out of it, some variable costs out of our system.

We've also overhauled our global procurement organization. And I'm really happy to say that through this 1st year of that overhaul we've identified and delivered on \$150 million in run rate savings in the procurement organization and there's a lot more to come.

And then finally, we are using sophisticated technology to help model to model the demand for our tech ops organization. And that's leading to more productive technicians, fewer grounded aircraft, and a more productive fleet overall. So there's a few examples. I'll tell you that there's more to come. This is a culture at United to drive an efficient operation. We reinvest a lot of that in the customer, and it's helping to drive higher structural profitability for United. So thanks for the.

Unidentified_3 [22]

Question, and I at least want to add on, mostly to compliment the team.

I think this is from an investor perspective, one of the Differentiating points of United versus all the other airlines in the world.

We are the best in the air, best airline in the world at the real core cost efficiency, something we've talked about a little in the past, and credit to Mike, credit to Jonathan Ireland, who's sitting in this room, Toby Inquis, our Chief Operating Officer, and Jason Birnbaum, who runs technology for us.

We've And we culturally are great, but we've also made technology investments that I know do not exist at any other airline, and that's the foundation that the culture and the technology that drives core efficiency, and we keep doing more and Mike told you a bunch of the tactical things that have happened recently, but then we keep finding more, and one of my favorite stories was. We finished the budget last year and finished the budget, and Toby came forward and said, I think we've got chances to drive another 250 million out of that operation in core efficiency, nothing that impacts the customer, that helps the airline actually run better and saves money. And there's no other Chief Operating Officer in the world that is doing that. They're all begging for more money in their budgets.

Like this is real at United.

I think we're going to drive costs for years to come that outperform the rest of the industry because what we're doing is real and it is not coming at the expense of employees or customers.

Unidentified_10 [23]

That's great. And maybe if I could ask one on your fleet, you talked about 25 being a high water mark for growth, but you have 100 narrowbody deliveries plus 2,787, so that's 10% growth by the end of 26, given you only showed 20 retirements. So plus you have the gauge benefit that accelerates in 26. How are you thinking about the guard rails, the capacity growth this year, and where in the network and the fleet plan you're keeping a buffer there.

Unidentified_6 [24]

Well, look, we're not going to give capacity guidance other than to tell you that, our, our next plan has been working well, and this last past year was the high water mark, so we'll manage capacity as appropriate for demand, but that's the guidance we're given today.

Unidentified_7 [25]

And Sheila, regarding the 100 narrowbody deliveries and it could be a little more. I mean, Boeing and Airbus have been doing a better job of repairing the supply chain that's been damaged from the pandemic and so production rates are improving. If we get a few more than that, we're going to welcome that on the narrowbody. That's going to help us up gauge more quickly and the profitability of those new aircraft is really robust versus the aircraft that we can replace. And on the wide body front it's a similar story. We expect 2787s. In 2026, I think we'll take about that amount in future years as well, and that modernization of the wide-body fleet is not just for growth, but it helps drive better profitability and better returns on capital for United going forward. So I feel really good about the CapEx profile and what it's going to do to the financials.

Unidentified_10 [26]

Great, thank you.

Unidentified_1 [27]

Your next question comes from the line of Katie O'Brien with Goldman Sachs. The line is open.

Unidentified_11 [28]

Hey, good morning, everyone. Thanks so much for the time. Andrew, I wanted to start with you and just dig in on higher thinking about the sequential trends by region underlying your one QPS guidance. Is it fair to assume that most of the 250 million pre-tax hit was driven by lower domestic revenue? So just trying to understand like should we see the most sequential improvement in domestic, obviously you had really strong performance in some of the international regions the 4th quarter, so really just trying to get a sense of the relative improvement you're expecting between the four regions. Thanks.

Unidentified_6 [29]

Yeah, clearly in Q4, the larger hit was domestic. I wouldn't say international is zero from the government shutdown, but it was mostly domestic. As as we look into 2026, we do have this Caribbean situation,

which is impacting the numbers there. So I'm going to be careful what I say about the Caribbean. We still think it could be positive, but, it's going to be close. But we are looking for sequential improvement everywhere. Clearly the The Atlantic is leading the way, which is great to see. We're growing a lot across the Atlantic. A lot of it is Israel, but we're still growing a lot across the Atlantic, and we think we've got the capacity equation really dialed in that region. So we're really proud of that. The Pacific, I think, looks pretty darn good. South Pacific is not as good as the North Pacific. And domestically, it's going to be another improvement, and what I'd say is premium cabins are leading the way, not only domestically but across the entire network.

Unidentified_11 [30]

Great.

And Mike maybe one for you on the 26 cost outlook, obviously understand, not asking for guidance, but. You just detailed a bunch of things that you were really excited about this year, the operation, the procurement, like there are some pretty big numbers that you guys have gotten out of the system, I guess, on the 26 punch list, like what are the opportunities you're most excited about? Is it just following down some of these same paths? Like how should we think about the opportunity to cost out this year versus, the great success you had in 25? Thanks.

Unidentified_7 [31]

I think, I thanks Katie for the question. I think a continued strong operation number one, I mentioned global procurement. We're just getting started there, so you should see continued improvements on that front. And then we're working with our technology team led by Jason Birnbaum, and there's some significant multi \$100 million dollar opportunities there. So we'll give you more details as we deliver on those, but this is a permanent cultural shift at United to drive efficiency.

Unidentified_1 [32]

Thanks so much for the time.

Your next question comes from the line of Ravi Shankar with Morgan Stanley. Your line is open.

Unidentified_12 [33]

Great, thanks, morning, everyone. So it's pretty clear that your full year guide, is quite conservative. I think you guys may have, hinted at that in your comments as well. Just trying to get a sense of kind of is this as conservative as it usually is, or do you see reasons to make it kind of even more conservative for 26? Just trying to get a sense of how many acts of God are in that full year guide, for this year.

Unidentified_6 [34]

Well, look, the way I would obviously Scott said something last night about this, so it helps with the answer just a little bit, I suppose, but let's think about the process, we. Think carefully about all these forecasts, and we're pretty consistent on how we approach it. We did our forecast for 2026, more than a

few weeks ago, and clearly as we refined it coming into the new year, we focused on refining it in Q1 because that's where we're at. We focused less on refining it in Q2 and beyond because that's how we do the process. So we'll see how it goes, I'll just start off with, the year's gotten off to a really great start. The international entities are looking pretty darn good, even the Caribbean, considering the situation we're facing there. So we remain bullish and business demand looks really pretty amazing. Right now, and we'll see if that continues. If all of that continues, which I assure you we think it is, and Scott definitely thinks it is, our forecast will prove to be more conservative than it usually is. But that's all I'll go with at this point. Maybe Mike wants to add to that.

Unidentified_7 [35]

Ravi, I just say, 2025 proved a year. If we talk about acts of God in this industry, we got walloped, the industry got walloped, and I'm incredibly proud of United's full year results. I'm particularly proud of the fourth quarter where we had a government shutdown. Just about every other major airline had to issue AKs to update their guidance, and we delivered within our original guide.

That is testament to how we guide at United Airlines to make sure that we deliver on our financial commitments even in imperfect times, and 2026 will be no different.

Unidentified_12 [36]

Very helpful. And on that note, kind of obviously you guys are coming to the end of the united Next kind of original guidance range. I mean, 2026 seemed like an eternity away back in 2001, but here we are, so what can we expect next in terms of like when do we get the next set of long-term targets from you guys? Obviously incremental loyalty disclosure kind of, what's the timing on that and what is the forum for that?

Thank you.

Unidentified_7 [37]

Hey Robbie, I am thinking about that, and all of our quarterly calls and frankly when we go to conferences we talk, I think we talk very big picture, very long-term, which is serving us well.

It is important that we have long-term goals that we communicate with the investor base. At this point in time, our commitment to get to double-digit margins, our commitment to get the free cash flow conversion of 75%, our commitment to get to investment grade, those are the longer-term benchmarks that we're fighting for. And so I feel like we're in a pretty good position around the long-term targets at this time.

Unidentified_6 [38]

And I, I'll just add, we look forward to sharing what comes next.

And what comes next is something that, I've been thinking about and the entire commercial team has been thinking about for years, because in order to prepare for what comes next, we need to put that into place with a lot of foresight and a lot of thought. So we look forward to sharing with all of you at some point in the future, but rest assured that we have a lot of, I think, really great commercial plans and opportunities for the latter part of this decade.

Very good, thanks everyone.

Unidentified_1 [39]

Your next question comes from the line of Jamie Baker with JP Morgan. Your line is open.

Unidentified_13 [40]

Oh, good morning everybody. Scott, I'm guessing the term Callite just got a few dozen more Google searches today than any point in life. Well, you.

Unidentified_3 [41]

Remember it.

Unidentified_13 [42]

You remember.

Unidentified_7 [43]

It without Cal without search yeah.

Unidentified_13 [44]

Yeah, no, I appreciated the comments. So, Andrew, sorry, I'm just getting over a cold here. Andrew, in your prepared remarks and also to Connor a few minutes ago, you mentioned that, some degree of unprofitable domestic flying out there is increasingly a function of hub and spoke peers, as opposed to the usual domestic discounter suspects. Now, in the case of discounters, I think it was very reasonable to assume that a lot of that would go away just given the staggering system-wide losses. But the difference with certain hub and spoke competitors that you reference, their returns are subsidized by loyalty and premium. So, put differently, discounters had no choice but to back off, as Scott likes to say, it's just math, but hub and spoke peers do have a choice. I'm curious if you agree with that, and if you do, does it influence your confidence that ultimately some of these competitors do cull that loss producing capacity?

Unidentified_6 [45]

Yeah, I think it's a really good question.

I think economic gravity is the same for all, and money losing. Businesses need to figure that out and do something different. And in this case, I do think money losing routes or hubs should ultimately be closed. I mean, I have some experience in this. I've worked on closing a number of hubs in my career at different airlines, not at United, obviously, and these decisions are complicated and big, but ultimately it

was making rational capacity decisions and recognizing. What makes money and what loses money kind of has led at least United to where we are today, and there's only one other airline, I think that can say that all other hubs make money. And so I still have a lot of confidence. I just don't know when, but I have a lot of confidence that money losing flights will eventually exit the system. And airlines will, move to what they do best, and the industry will be better off and all the airlines will be better off, but I don't know when, and it may be a while, and they do have a lot longer runway than other airlines for all the reasons you said earlier.

But again, I'll go with economic gravity applies to all.

Unidentified_3 [46]

Jamie, and by the way, Jamie, I'm just kidding since Andrew talked about closing hubs, so one of the things that consistent with my opening remarks about Andrew and Glenn being the two best in the world, they have each closed 3 hubs that I can count in my career. The most important thing for a successful commercial airline is know when to pull out of loss-making markets. It's emotionally hard to do. Very few people have the discipline to do it. It is the most important characteristic for somebody that's going to run a network at any airline in the world.

And it's rare.

Unidentified_13 [47]

I appreciate that, Scott and Andrew, and then just a quick follow-up, something, Andrew, I think you and I were discussing it in person not so long ago, or maybe it was me and Patrick, but, the fact that many of your recent international editions were coming in at a margin premium to their geography as opposed to a deficit that would hopefully rise over time. I'm curious if that's still the case, and if it is, How long can that continue, and should we assume that those premium margins get competed away over time, or are they sustainable, which would imply the broader geography also gets more profitable.

Holding other inputs.

Unidentified_7 [48]

Constant.

Unidentified_6 [49]

Yeah, that, that's a very broad question. And look, I would say that there's nobody better in the world than Patrick than looking at these opportunities and what we have found, which I think is contrary to normal, is that the fruit that we're picking off the tree after all these years continues to be excellent. In other words, we're able to find different opportunities because the world is getting smaller. The aircraft technology, obviously with the 787 has changed. But most importantly, United is different today than it was a decade ago, and our differences in the attraction of brand loyal customers, as Scott often says, our product, everything we do has enabled us to add these new routes that couldn't have been done years ago and add them at higher margins. Than the bulk of what the airline has done. So it's a remarkable journey, and I think on the international front we're frankly just getting started. New York, San Francisco, Washington,

and LA, when you combine all those together going across the Pacific and the Atlantic, are they're just amazing opportunities, and I think obviously you know that the A321 XLR is being made for us and will arrive and we're going to use that aircraft for its unique capabilities, not unlike Continental did 20 plus. Years ago with the 757, and I think we'll be the only airline to use the aircraft in a way that really does bring on a bunch of new markets. We're not trying to down gauge, over gauge wide body jets, for example. We're looking to expand our network and our scope and our depth, and there's just a lot more to come on this front. And so kudos to the whole United team. It is just an amazing achievement, and we look forward to seeing what our international network will look like a decade from now.

Unidentified_7 [50]

That's great. Thanks everybody.

Unidentified_1 [51]

Your next question comes from the line of Tom Fitzgerald with TD Cowan. Your line is open.

Unidentified_14 [52]

Hi, thanks very much for the time. I wonder if you could expand a little bit on the distinction between a loyalty program and a rewards program. You've commented on that a few times. I'd love to hear like how investors should think about mileage plus being differentiated.

Unidentified_6 [53]

Sure, I think the most simple way to think about it is churn of members. People join our program and stay with it just about forever, and people grab and get our credit card and stay with it for a very long time period. So we have very little churn in our programs and therefore we don't need to do extraordinary things to attract people to United. We've already done it with a great product, a great network, and rewards. That they really want, which is travel. Like people really want a first class seat or a Polaris seat to Tahiti as a reward, and all of the other programs out there tend to use, constant bonus points and other benefits and have a lot of revolve around customers going in and out, switching credit cards, so on and so forth, often to game the systems. And I just think an airline program and particularly the United program is different. And as we approach the future, we should harness the power of that to figure out how we can make it even stickier and grow it faster, which is what we'll talk about in the next, 10 or 12 weeks.

Unidentified_14 [54]

Okay, that, that's really helpful. And then, this is a quick follow-up. It seems like an important monument that, 2025 is a high water mark on domestic capacity growth. So maybe just, remind investors that they should think about, as you guys harvest some of the gains as from achieving your united next investments. Thanks again for the time.

Unidentified_6 [55]

So, in 2021, we announced it Next, and we announced the growth that would come from the connectivity. The growth was always the outcome of the connectivity.

We weren't growing for growth's sake. I think that's really important, and I remember at the time we did distinguish that not all growth is equal, which was really controversial back in 2021 because I think many thought it was, and I think we proved it was not. So as we've gone through the whole cycle of United Next, we are approaching our connectivity goals. We'll hit them in 2027, probably a year late, given some of the delivery delays we experienced from Boeing, but Close on time in the grand scheme of things, and as we do that, our hubs have reached this critical level, around 650 flights per day in our mid-continent hubs with a lot of connectivity, big banks, and large airplanes. That's exactly what we were contemplating. So as we go forward past 2027, we're going to be a lot more focused on gauge and growing our operation that way versus more flights. We do think there's a point when hubs grow past 900 flights per day, for example, that the marginal economics become really challenging. You compete against yourself and you derive a lot of operational complexity, no matter how many runways you have available to fly from. So we really like our plan. It's based on moderate frequency levels and large aircraft, and I don't want to give too much of a preview for what comes next, but that was a good hint. As to where we're going, but so that's the high water mark comment is related to all of that, and, I'm glad to get back to, focused on Engage in 2027 and beyond. I think it's going to be very lucrative for the business.

Unidentified_1 [56]

Your next question comes from the line of Brandon Oglinsky with Barclays. The line is open.

Unidentified_15 [57]

Hey, good morning and thanks for taking the question and congrats to the team on what was a pretty good year in a tough environment.

But Scott, and I don't mean to kiss up too much here, but I think a lot of folks in this call really appreciate your industry commentary and a lot of your projections have been correct the last few years. Can we talk about just broader industry growth? Because if we look at revenue to GDP or even revenue growth last year, it was effectively flat versus GDP that was up, 3 or 4% nominal or real. Do you think this signals that we're just like in a shrinking industry now, or has Zoom taken over, or has this really been, too much low cost capacity in the industry, just can't get pricing? What's your.

Unidentified_6 [58]

Prognosis? .

Unidentified_3 [59]

It's a supply challenge problem. It's not a demand challenge. It's a supply problem, and it's a supply problem. I'm not going to call it low cost capacity. It's a supply problem with spill carriers, and Andrew said it, and.

I'll repeat it like economic gravity ultimately wins, doesn't win overnight. Ego usually beats economic gravity in the short-term, but economic gravity always wins in the end, and, I feel pretty optimistic.

That even in this environment, well, I feel really good even in this environment, how well United is doing. The brand loyal strategy I thought was going to be successful. I've been on this path with Andrew for really for 20 years. We switched airlines, but we've been on this path for 20 years. I thought it would be successful. It is more successful than I thought. Like it is remarkable how much resilience we have in bad times or to competitive activities.

And and so that's good, but you, I look at some of the flying at competitors and it's going to push north of 20% margins this year. You can do that for a little bit of time, but when the down, I actually, to be H1st with you, I think that supply really comes out when the next downturn hits. The next downturn is going to make it extremely tense for airlines that are going into it with breakevenish margins in good times.

And so I think that's probably what it takes for the next kind of wave of supply. So I think we'll do okay in main cabin between now and then. We'll do well in premium. I think to an earlier question, we are targeting, growing margins, adjusted for any kind of anomalies that happen, but growing margins a point a year. That means we've got to make up a point from last year, by the way, and I think that takes us into, the low double-digits. And then I think when the next downturn hits coming out on the other side of it and the supply comes out, we come out with mid with mid 10s margins. So it's a long answer, but off the cuff, but that's what I think's going to happen.

Unidentified_15 [60]

I appreciate the comment, Scott.

Thank you.

Unidentified_1 [61]

Your next question comes from the line of Michael Lenenberg with Deutsche Bank. Your line is open.

Unidentified_16 [62]

Oh yeah, hey, good morning, everyone. Hey, just touching back on kind of what Jamie brought up, I think the prevailing view is that domestic will be the best performing geography in 2026, maybe domestic rasam, maybe profitability. But when I think about, the fact that, one of your competitors in Chicago is adding a lot of flights, and I've seen reports that they're already losing, I don't know, 70 or \$800 million under their current schedule. Is that going to be a drag on your domestic to the point that.

Maybe it's transatlantic. Maybe it's another geography that comes out on top. Or do you have maybe a diversified enough domestic network? I mean, you have a massive domestic network that that will be more than overshadowed by strength in some of your other markets like Newark, for example, which is probably going to run very well in 2026.

Unidentified_3 [63]

Well, thanks for the question, Mike. I was afraid we're going to get through the call without, addressing Chicago, so I'm happy to do it. And it's probably a good follow-up to the last question that I talked about,

and I would start with. At United Airlines, we've been a decade-long strategy to build a brand loyal customer airline that is, that was all designed to get us out of the commoditized part of the industry where all that mattered was the schedule, and that meant focusing on the product, the technology and service to get customers to choose us. That's been a really successful strategy.

It didn't happen overnight. It really has been a decade in the making. But you can see the results, and we've had market share increases everywhere that we fly.

In Chicago, to be specific, in 2016, American actually had higher local market share with Chicago-based customers and higher share with business customers.

In 2025, even after all the growth from our competitor, United now has a 22 point lead with Chicago-based customers in Chicago and a 38 point lead with the brand loyal business customers.

Being a brand loyal airline just really inoculates us mostly from that competitive activity and in fact in 2025, even with all that growth, the Chicago Rasam outperformed the rest of the system by 1%, and we made a \$500 million profit. By the way, I think we probably would have made \$600 million so it probably cost us about \$100 million but our competitor lost \$500 million even though they didn't start that really until May. So bigger on a full year basis. As we get 2026, there's another wave of growth coming from that competitor. Mostly that's going to wind up exactly the same as it did last year. It was one difference. In 2025, America had a gate. That means, we watched it, we could have responded. We chose not to. They're going to win three gates back at our expense when the analysis comes out later this year. We knew that was going to happen. We figured we'd just let it settle into a new normal and that would all be fine, but in 2026.

We're drawing a line in the sand. We are not going to allow them to win a single gate at our expense in 2026. We're not trying to win gates. We're going to add as many flights as are required to make sure that we keep our gate count the same in Chicago.

Look, we're just going to stay focused. We've had the right strategy at the whole network for a decade. We're going to keep doing it. It's a winning strategy. It's working. We're going to keep doing that in Chicago. For what it's worth, I think that we will likely grow our earnings. Certainly we'll make at least the same \$500 million I believe, and likely we'll still be able to grow our earnings in Chicago for the same reasons it worked last year.

American, and we're pretty good at estimating this, it's likely to push to about a billion dollars in losses in Chicago, but we're going to just stay focused on the strategy that's worked for the last decade. Our team is doing a great job taking care of customers.

And it's working for us.

Unidentified_16 [64]

Great, thanks for that long answer or comprehensive answer.

Unidentified_17 [65]

Scott.

Unidentified_1 [66]

Your next question comes from the line of John Godden with Citigroup. The line is open.

Unidentified_17 [67]

Hey guys, thanks for taking my question, Scott. I was hoping you could revisit your thoughts on the shape of industry structure from here. We've seen M&A announced among some of the smaller carriers. There seems to be an expectation of more. I'm curious what you think equilibrium in the industry looks like. And second, obviously when I think about your history, America West, US Air, American Airlines, you're no stranger to be a leader. In M&A, is there any scenario where United gets involved in M&A, considering we have what seems to be an accommodative DOJ, which isn't always the case?

Unidentified_3 [68]

Thanks. Well, I'm not good at resisting the bait, but I'm going to resist the M&A bait today. Bob Ripkin is nodding appreciatively at me and not talking about that. But I think the structure of the industry is ultimately going to be, low cost carriers will.

Shrink down to the niche that works for low cost carriers. That is big.

These are markets, and I don't know if they're going to liquidate, if they're going to merge, if they're just going to all shrink for sure, but they're going to shrink down to the niche that works, and that'll be good for them. I think they can have solid margins, but it's a much smaller niche than where they are today. I think there's going to be two Brand loyal Airlines, that for that's already the case, I gave you the numbers in Chicago. That game is over, I realized that not everyone knew the game was on. The game is over, and when we have that big of a lead, with customers, like you just don't win it back because you'd have to have technology, products, services that were somehow better than United and somehow better than Delta to even start, and you're a decade behind, and then I think the rest of it will be sort of, finding places, where, you can.

Big big in other cities, non-hubs of Delta or United, and you can have a network that works and that's a little more commoditized, but you can have a network that works, and so, I think that's what the structure, and it's an open question about whether consolidation helps us get to that structure, but that's where the structure is going to end with consolidation or.

Unidentified_17 [69]

Without.

All right, thanks. I won't press it. I appreciate the answer.

Unidentified_1 [70]

Your next question comes from the line of Scott Group with Wolf Research. Your line is open.

 Unidentified_18 [71]

Hey, thanks for squeezing me in. So last quarter I think you laid out an expectation we should get at least a point of margin improvement a year. I think you just got, you just said it again. I guess the high end of the guidance range gets you there. The midpoint would be less than a margin, less than a full point. So I don't just at the end of the day, like help us think about price/cost this year given the momentum you've got right now, the comps that come in Q2, Q3, like. I would have thought this would have been the year where like it's a pretty clear like point of margin like is it just the conservatism that maybe you said a couple times or are there other things we should be cognizant of? I don't know, labor, what's going to Chicago. I don't know, just help us understand like if this is the year we should be doing the full point of margin.

 Unidentified_7 [72]

Scott, I love that you did the math and trust me, we've done the math too.

This industry got hit by multiple asteroids last year. We want to make sure that we deliver on our financial commitments. We've given you very clear targets for the longer-term, and we're going to deliver on those, targets, the timing of which there's some uncertainty around. But, the full year guide was very deliberate. We're telling you that if, current booking trends stay on this path, there's upside, and, you should think about that as you make your own, estimates.

Thank you guys.

 Unidentified_1 [73]

Your next question comes from the line of Chris Weatherby with Wells Fargo. Your line is open.

 Unidentified_19 [74]

Yeah, hey, thanks, good morning, guys. Maybe might just want to following up on that question. If you think about unit costs as you go through 26, obviously there's labor dynamics that we have to factor in. We exclude that, take a look at 2025. How good of a benchmark or sort of range is that for us to use as we think about the sort of ex labor dynamics of unit costs for 2026 and then maybe zooming out a little bit. Sounds like you're still sort of have lots of opportunity in terms of managing cost efficiency as we move forward. So how big a story is this beyond.

 Unidentified_3 [75]

26?

 Unidentified_7 [76]

Yeah, thanks, Chris, for the question. And look, we're not going to give ram guidance. We're not going to give chasm guidance, but we've been pretty clear about this is a new culture at United around cost management and discipline and driving efficiency. And let me remind you, we really have not benefited

from gauge yet. That gauge benefit is still on the come, so. 25 was a great year. We're going to work really hard to make 26 an equally great year from a chasm standpoint, and keep in mind some of the tailwinds we haven't even, we haven't really started to even benefit from.

Unidentified_1 [77]

Appreciate it thank you.

Your next question comes from the line of Atul Maeshwari with UBS. Your line is open.

Unidentified_20 [78]

Good morning. Thanks a lot for taking my question. First, just quickly, do you think there can be any meaningful tailwind from the soccer World Cup this year? And if so, is there anything that's assumed in the guide in any way to dimensionalize how large that tailwind can be?

Unidentified_6 [79]

I'll take that. Look, we're we're looking forward to it. I'm sure some of us will attend a few games.

I think the interesting thing we see is it creates what would be normally countercyclical traffic flows, so it creates inbound into the US demand in June, which is normally an outbound time period. So, quite frankly, yeah, I think that we do expect some upside from that, given the broader macro trends. I'm not going to judge exactly how much that is, but we do think.

This particular sporting event will be a positive for United. There are other large sporting events that are not because they drive just leisure traffic and business traffic evaporates in those situations. This is not one of the situations, so we do expect some level of upside, but I want to caution you, it's still, given the size of United, I'm not sure it's all that meaningful, but it is positive.

Unidentified_20 [80]

Got it. That's helpful. And then, second question, one kind of pushback that we get from longer-term investors who want to deploy capital to airlines and to United is that how can industry capacity discipline persist as Boeing and Airbus ramp up deliveries from here? Like headline numbers for last year is still pretty positive with respect to capacity growth.

So how can that persist? Like what can you say to give comfort to those investors that capacity discipline can in fact persist?

Yeah let's wrap up deliveries.

Thank you.

Unidentified_3 [81]

First, we never say those words, and I'm not even going to repeat them because that's not how we think and we don't ever say those words, but what I think the limit on capacity is not about aircraft, it is engines.

It is already engines. There's about 800 aircraft around the globe that are grounded with engines. We even have some. We bought tons of spare engines in advance, we even have some that are going to be grounded this year for engines.

The engine manufacturers are not going to catch up to the combination of the need for MRO replacement engines and new aircraft deliveries, in my view, until sometime next decade. So engines are the constraint.

Unidentified_20 [82]

Got it. That's very helpful and good luck with the rest of the year.

Unidentified_1 [83]

We will now switch to the media portion of the call.

If you would like to ask a question, please press star then the number one on your telephone keypad to raise your hand and enter the queue.

We please ask that you limit yourself to one question.

Please hold for a moment while we assemble our queue.

Your first question comes from the line of Leslie Josephs with CNBC. Your line is open.

Unidentified_21 [84]

Hi, good morning, everybody. Just wondering, can you please clarify what you meant about the Caribbean? This is an airspace closure in the beginning of the year that's impacting bookings now in Q1, and you said that it was, measurable. Could you, provide some more detail on that and how much that might cost? And then second, your competitor in Atlanta was hinting at, some segmentation at the front of the plane, just wondering where United might be on that. And is that, could we see a stripped down. Business class or first class products, maybe no seat assignment or or something along those lines. Thanks.

Unidentified_6 [85]

Hi Leslie, it's Andrew. Look, on the Caribbean, we're a pretty big airline in the Caribbean, and we're a small airline in the Caribbean.

I'm just pointing out that there, there's been a little bit of a book away from the Caribbean. I don't think it's measurable in the grand scheme of things when it comes to United Airlines, to be blunt, but demand has been impacted by the situation in Venezuela to some extent. We expect that to dissipate over time, and in fact, the last few days have been better than the first few weeks of the year. So, I think we're in good shape

on that front. And look, on cabin segmentation, I, I'll add that that's been very good for United Airlines over the years as we invested in more premium products and. A larger array of products out there, so we're going to continue to do that.

The only, more reasonable hint I'll give you is that we have a large redesign of united.com coming as we seek to do different things and how we sell products. So we'll leave it to that and we'll talk to you, sometime in the 1st quarter or second quarter about our overall strategies on merchandizing.

Thanks.

Unidentified_1 [86]

Your next question comes from John Pletz with Crans. Your line is open.

Unidentified_22 [87]

Thanks, good morning. Scott, any color, additional color on Chicago, drawing the line, drawing a line in the sand, does that mean you're going to add flights?

It does.

Can you give me a little color on on.

On what scale you might be considering adding flights here?

Unidentified_3 [88]

They will be, the color will be, they will be in the black while America is in the red.

Unidentified_22 [89]

Alright, any idea how much I guess is what I'm asking.

Unidentified_3 [90]

In terms of like.

I think we're going to have a schedule load next week that'll.

Give you the answer.

Unidentified_1 [91]

That concludes our question-and-answer session. I will now turn the call back over to Christina Edwards for closing remarks.

 Unidentified_2 [92]

Thanks, Colby, and thank you all for joining us as we celebrate our 100 years here at United Airlines. Contact investor media relations if you have any further questions. Bye.

 Unidentified_6 [93]

Yeah.

 Unidentified_1 [94]

Thank you ladies and gentlemen. This concludes today's conference. You may now disconnect.

----- Definitions

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Call participants: